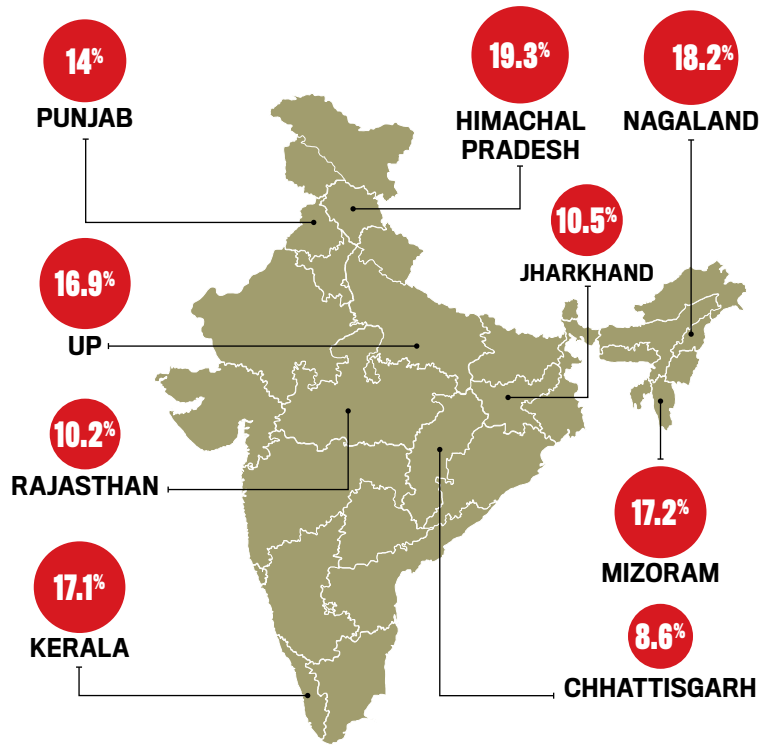
around years 2035-40 when, in Rajasthan, for example, against an average of 22,000 state employees, around 35,000 may retire annually. This is also why a fierce debate has been building up on the issue of how OPS defers liability for coming generations. The finance ministry, the Reserve Bank of India (RBI), the Planning Commission and prominent economists and bureaucrats have warned about the dire effects of a rollback to OPS-2. Lobbyists for the ruling BJP at the Centre have also been active on social media and newspaper editorials, hitting out at the pensionary privileges of retired employees (at the cost of taxpayers), even making it a private sector versus government employee issue, but to no avail. The demand for OPS-2 has now expanded to the railways and central government employees.

The OPS vs NPS battle is being spearheaded by Gehlot who, along with the chief ministers of opposition-ruled Chhattisgarh and Jharkhand, Bhupesh Baghel and Hemant Soren, are now seeking a refund of their corpus (both employees' and states' contributions) lying in the NPS. The CMs of Himachal Pradesh, Sukhvinder Singh Sukhu (Congress), and Punjab, Bhagwant Mann (AAP), have also got their cabinets to pass resolutions in favour of the OPS.

There is a growing belief that in states with a large chunk of government employees, the OPS could be a game-changer as an election issue. The Himachal election is cited as an example where the Congress had made it an election promise. In the end, a one percentage point difference in vote share brought it to power, defeating the incumbent BJP. Maharashtra CM Eknath Shinde and his deputy Devendra Fadnavis, who had softened their stand against the OPS just ahead of the recent MLC polls, may be ruing the fact that they did not commit on the issue. In Karnataka, two BJP MLCs staged a boycott of a legislative council meeting and demanded a move back to the OPS, with ex-MP Ayanur Manjunath asking why elected representatives were not brought under the NPS when it was forced on government employees. BJP national general secretary C.T. Ravi has called for a national consensus by political parties on the OPS issue. Meanwhile, state employees in Tamil Nadu have been sending CM M.K. Stalin constant reminders about restoring OPS being one of his election promises.

PAID UP FOR LIFE

States with the highest pension outgo as proportion of revenue expenditure



REVERTING TO OPS MAY PUT STATES IN FINANCIAL CRISIS. THE PENSION BURDEN WILL KEEP RISING ON ACCOUNT OF THE GROWING NUMBERS AS WELL AS SALARY HIKES FROM PAY COMMISSIONS

WHY OPS IS IN DEMAND

In implementing the NPS, state governments did not amend the service rules to change contractual conditions for existing employees who continued to enjoy the benefits of OPS. The country, therefore, now has two kinds of government employees and pensioners: one lot who will retire year after year until 2040 with OPS benefits and another, appointed after 2004 under NPS, who are angry that they will get much smaller pensions. As employees under NPS climbed the career ladder, they have reached positions where they are able to create pressure groups on the issue. In Rajasthan, MLAs have raised the NPS vs OPS issue in the assembly, citing instances of employees given jobs on compassionate grounds at a later age retiring with NPS pensions of only a few thousand or even a few hundred rupees. Had they retired under OPS, they would have got Rs 4,000-8,000 per month in addition, which is 2-3 times of what they got under NPS.

In September 2020, the Comptroller and Auditor General (CAG), in its performance audit of 15 years of the NPS, highlighted several deficiencies. It said: "The audit could not draw assurance on viability of the fund/ scheme. NPS had not ensured 100 per cent coverage of all eligible offices and employees of the govern-